

Access to Information and Pro-Poor Development: Lessons from Two Cases in India

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Even those who are sympathetic to the argument that transparency is an essential feature of democratic governance are sometimes dismissive of the idea that access to information is a key element of pro-poor development – that is, for the realization of social and economic rights. The oft-expressed view is that disadvantaged social groups – not just people with low-incomes, but those who have faced discrimination on the basis of gender, religion, race, or ethnicity – ‘can’t eat information.’

This is true, of course, and it is certainly the case that advocates of enhanced citizen access to publicly held information often overstate the likely impacts of legislative and regulatory changes that enhance transparency. For instance, many e-governance programmes have been hyped to such an extreme degree that when they fail to deliver the promised benefits the result is a sense of disillusionment that taints the entire transparency agenda.

There is also the view – similarly inflated by skeptics, but also containing considerable truth – that the ‘costs’ of making information accessible frequently outweigh the benefits. These costs include not only the time and energy required to establish a regime of information-access (passing legislation, framing administrative procedures, instituting oversight mechanisms), and to operate it effectively, but also the undermining of public-sector initiative that can result when officials fear that their actions will be subjected to scrutiny, *ex post*, by external assessors with little understanding of the context in which policy options were debated, consensus generated, or decisions taken. Even if exaggerated, especially by those with an interest in maintaining high barriers to information-access, these concerns do reflect a genuine phenomenon.

There are several factors that fuel suspicion of ATI as tool of improved pro-poor governance. The first concerns evidence. It is difficult, if not impossible, to make the case on the basis of statistical data that access to information has improved outcomes for disadvantaged people – whether expressed in terms of ‘rights’ (procedural or substantive), or in terms of concrete developmental outcomes. There are too many other variables involved in the process of governance to attribute positive (or indeed negative) trends to increased access to information. And there are of course many places where rapid poverty reduction has taken place amidst highly opaque public-sector bureaucracies. The case of China, where more people have been lifted out of poverty in a shorter space of time than perhaps anywhere else in history, is a frequently cited case. A slightly less visible example is Vietnam, where a ruling party that maintains a tight grip on official information has nevertheless improved human development indicators in similarly dramatic fashion over the past dozen years.

But even if we accept that such criticisms have some validity, they do not in themselves constitute sufficient grounds for halting what is by now a widespread movement for greater access to publicly held information. Given the role of access to information as a global norm, a recognized right in a variety of international treaty instruments, it is not unreasonable to conclude that the burden of proof is on those who resist greater openness. In other words, where is the evidence that China or Vietnam would not have reduced poverty as quickly had their governments moved more rapidly (or at all, some critics might say) to increase access to government-held information?

Socioeconomic Rights and Accountability-Deprivation

The benefits of ATI for social and economic rights can be portrayed in various ways, but it is perhaps best to think of ATI as an element in the strengthening of accountability institutions so that they better support human development (understood as the progressive acquisition of freedoms and the capacities to exercise them). The *lack* of accountability – the failure of oversight institutions of various kinds – is a crucial reason why people fail to experience as a concrete reality the national and international rights protections their government’s ostensibly provide them. The impunity with which government officials and other holders of power operate contributes directly to at least four human type of development deprivation (these could as easily have been classified as rights deprivations): declining physical security (when, for instance, police forces escape civilian oversight); eroded environmental quality (when regulators are bought off); reduced access to decent livelihood opportunities (when labour markets are rigged to benefit powerful employer groups; and reduced access to capability-enhancing services (most notably, health and education, but also access to courts, well-functioning citizenship services, and so forth).

The idea of accountability contains within it a large information-access component. The very essence of accountability – one party requiring answers of another, and potentially suffering sanction if unforthcoming or unconvincing – involves actors seeking, shaping, and concealing information. To exercise surveillance over someone you are holding accountable requires the party under scrutiny to part with information relevant to his or her performance. When in possession of sufficient data (whether qualitative or quantitative), one can engage in informed deliberation with officials to whom power has been delegated. Officials' explanations for their actions – which often highlight extenuating circumstances, sometimes convincingly – involve a form of reason-giving that becomes meaningless unless there has been a sufficient degree of information dispersion. Information is necessary, though not sufficient, to holding the powerful accountable; and without systems of accountability, social and economic rights tend not to be realized.

Making public agencies more accountable to the citizens they serve is a central part of building effective states that can deliver poverty reduction. Understanding accountability means analysing relationships between power holders and those affected by their actions. The key actors in accountability relationships are the delegator (the principal) and the delegate (the agent). In the context of governance and development, examples of principals and agents include voters and politicians, service users and service providers, activists who file public-interest litigation and government officials whose decisions have been challenged, aid donors and partner governments, and so forth.

In fact, accountability centres upon one of the oldest human problems, found in many relationships but particularly acutely in the case of governments and large organisations: the problem of delegation. Government officials and other actors whose power affects large groups of people operate under grant of authority vested in them by the public at large (implicitly or explicitly).ⁱ

However, *delegates* often have incentives that put them at odds with their *delegators*, those from whom they derive their mandate. This gives rise to the need for monitoring and surveillance over the power holders. An essential accountability challenge is how to engineer a system that empowers public authorities to undertake work on a large scale, and provides them with the flexibility to experiment and innovate, while still holding these powerful actors accountable for their performance.

Accountability requires power-holders to:

- a) answer to constituencies -- explain/justify actions (answerability);
- b) suffer sanctions for poor decisions or criminal acts (enforcement).

These two processes are sometimes seen as ‘weak’ and ‘strong’ forms of accountability. Being accountable in the sense of having to explain one’s actions is a lot less onerous than being subject to sanction.

Answerability

- Explanation: A less demanding form of answerability requires a holder of delegated power simply to furnish an explanation, or rationale, for his or her actions. For instance, when asked by a group of concerned citizens why a building permit was issued for a structure that encroaches on common lands, planning officers typically supply vague, formulaic answers – for example, that permission was granted because all required steps under the relevant legislation were taken. Such a response provides little of substantive value for people seeking a full justification of how competing considerations were weighed.
- Information: But when the explanatory component to answerability is combined with an information component – for instance, an obligation of full disclosure that requires officials to reveal the evidence basis upon which decisions were taken, such as supporting documentation and testimony from experts consulted – then officials find it harder to get away with explanations based on unsound logic. This ‘hardens’ accountability, even in the absence of workable enforcement mechanisms.

Enforcement

- Adjudication: Adjudication involves a determination as to the persuasiveness of an official’s explanation of his or her conduct and outcomes. Adjudication is undertaken on the basis of available information and in the context of prevailing standards, which may change over time.
- Sanctioning: After the assessment of performance has been made, an enforcement actor must decide on the nature of the penalty to be applied. This process involves at least three elements:
 1. assessing the future *deterrent* effect of competing sanctions;
 2. considering whether *justice* will be seen to have been done by the public, and
 3. calculating the *capacity* of the sanctioning authority to carry out the chosen form of enforcement.

So as we can see, information is an important element in all accountability mechanisms. And since the idea of accountability is central to democratic

governance, we can see a direct line leading from the foundations of democracy to the notion of transparency.

Two Cases from India

Two case studies from India may help to illustrate how the link from democratic (ie accountable) governance can lead through transparency, toward the realization of social and economic rights in practice. It is important to emphasise that, in both cases, information must be actively sought and operationalised by vigilant citizens and their associations in civil society. In addition, in their different ways (one by positive example, the other by negative example) these two cases illustrate a practical point: whether or not a country possesses generalized public ATI legislation, it is advisable to build additional (sector-specific) transparency provisions into key pieces of economic or social legislation.

In making the case for the practical benefits of information-access – in terms of the realization of socio-economic rights or, more prosaically, the promotion of pro-poor development – it is helpful to distinguish between two types of activities in which citizens are engaged: the productive and the redistributive. Each of the two case studies discussed below represents a particular type of government initiative – one related to the productive economy, the other to the redistributive realm of public administration.

1. NREGA

We will begin with the redistributive realm – where, in India, the losers from economic liberalization are supposed to be cushioned from dislocations created by the globalization of the Indian economy. The National Rural Employment Guarantee Act 2005 is the flagship social-protection initiative of the United Progressive Alliance coalition government that has ruled India since 2004. The NREGA is a New Deal-style programme that creates unskilled labour opportunities for people and whole regions suffering unemployment and chronic underemployment. The NREGA extends this concept radically by ‘guaranteeing’ employment for each rural household that demands it. It is a right-to-employment programme, albeit of limited proportions (providing a maximum of 100 days of labour per household).

While employment-generation schemes are considered well targeted (because only the truly poor would be willing to undertake such onerous work), they are also prone to other forms of corruption – most notably the padding of payrolls with ghost workers, whose ‘wages’ (kickbacks to the scheme’s administrators) are taken from payments due *genuine* workers, hence the underpayment of wages that is such a huge source of economic distress in rural India. If corruption could be fought in such circumstances, it would make the right to employment (and all the other rights that access to a secure income helps to make available) that much more of a concrete reality.

With precisely this in mind, the framers of the NREGA included specific provisions to enable workers -- who might otherwise unfairly lose part of their wages -- to monitor the actions of project administrators. This meant gaining access to information about project work sites, the number of workers employed, the hours billed, the quantities (and price) of building material delivered, and so forth. All this information must, under the statute and the regulations framed to operationalise it, be provided without hindrance and under threat of material penalty to the officials concerned.

An important aspect of the NREGA's ATI provisions is their full-spectrum nature: they stretch from the beginning of the project lifecycle (the identification of a road-repair site, the dissemination of programme eligibility guidelines), all the way to its completion (including the auditing of physical assets created under the scheme, and the accounts submitted in connection with their completion). Due to the thoroughness of its designers, the NREGA has, in effect, created a full-fledged 'information regime', in which specific actions trigger the release and (in some cases) dissemination of data/records/reports to specified groups. All of this is underwritten by a specialized Information Technology platform devised for the NREGA's implementation. The IT platform tracks each works project and each individual work applicant in ways that severely reduce the scope for officials (and their accomplices in local politics) to doctor records and thereby cheat workers of their wages.

The IT system allows various levels of access, permitting both individuals and (more plausibly) local activists working on their behalf, to obtain financial records, which can then be cross-checked against information provided by local workers/citizens. This process of collective verification is itself built into the NREGA, which stipulates that works projects must be subjected to popular audit in the relevant local government forum (in this case, the village assembly). The rules for conducting such an audit are set forth in detail.

If the idea of collectively auditing expenditure on employment-creation programmes sounds familiar, that is because over the past decade and a half, among the most inspirational examples of using information to advance socioeconomic rights involved precisely this method. The Indian social-activist group, the MKSS, pioneered these social audit procedures in informal/non-official hearings in various parts of Rajasthan throughout the late 1990s. After successfully lobbying the Rajasthan government to pass a right to information act, as well as to change the local government act to require public auditing in local councils throughout the state, the MKSS found itself, in the early years of the current decade, in the midst of a campaign demanding that the Rajasthan government adopt an employment guarantee act along the lines of what had existed in the western state of Maharashtra since the early 1970s. The MKSS activists and likeminded advocates in civil society ended up, by late 2004, convincing not so much the lame-duck chief minister of Rajasthan as the leader

of the Congress Party, Mrs Sonia Gandhi. Mrs Gandhi became a strong believer that a nationwide EGS would help to demonstrate that the incoming (Congress-led) UPA government was, unlike its BJP-led predecessor, concerned about those left behind in India's rush toward prosperity. MKSS and like-minded activists joined the National Advisory Council, which Mrs Gandhi led as a kind of party/coalition think tank. It was via this body that ATI activist groups were able to make the NREGA as progressive a piece of legislation as it became.

The NREGA's transparency provisions were put in place, it should be noted, despite the fact that India already had a Right to Information Act, and was passing a new and better version at the very time the NREGA was being formulated and debated. The transparency provisions in the NREGA go beyond mere information-provision, or the compilation of data on programme inputs and outputs. The NREGA provides disaggregated and actable information, which allows engaged citizens to audit in detail the low-level bureaucrats whose actions most directly affect their development prospects.

This kind of direct-citizen engagement in the accountability process – using an information regime built around a specific government programme – represents a new channel, or axis, of accountability, which combines features of the two standard channels: vertical and horizontal accountability. In *vertical* accountability institutions, states are held to account by citizens, jointly and severally, whether through elections and other *formal* processes, or through lobbying or mass mobilization, both of which rely on the existence of a set of *informal* institutions (such as the press, social networks, etc). This is the most direct form of accountability, but faces huge challenges (e.g. clientelism). *Horizontal* accountability institutions are those in which state entities demand answers from (and sometimes possess the power to sanction) other state entities. Auditors-general, anti-corruption commissions, bureaucratic oversight boards, Parliaments (e.g. parliamentary committees and commissions) – these and other bodies stand in for citizens who generally lack the time, expertise, and collective-action resources to monitor the detailed work of their public representatives. Unfortunately the lack of balanced gender representation within these institutions can further entrench gender inequalities at a societal level.

More recently, a third category has emerged thanks to increased efforts by citizens to engage directly in state processes once reserved for state agencies.ⁱⁱ This category concerns the direct engagement of ordinary people with service providers and state budgeting, auditing and other oversight processes which have traditionally been the arena of state actors alone. Combining elements of vertical and horizontal accountability, experiments in direct citizen engagement amount to hybrid forms of accountability, located somewhere in between.ⁱⁱⁱ In this sense, they can be thought of as representing a '*diagonal*' channel of accountability.

Such efforts to by-pass cumbersome or compromised formal accountability systems in order to participate in expenditure tracking, public hearings, and so on, are sometimes referred to as '*direct*', '*social*' or '*demand-side*' accountability processes, and possess three main characteristics:

- they by-pass the formal institutional intermediaries that slow down or subvert accountability processes;
- they seek answers *ex ante* from policy-makers as opposed to the conventional *ex post* approach to accountability (e.g. participatory budgeting);
- they focus on the fairness of outcomes, not just procedural correctness.

2. India's Special Economic Zones

The second case that demonstrates the importance of ATI to the realization of social and economic rights comes from India's productive economy of private markets, whereas the first was drawn from the redistributive realm of public policy. This second case, Special Economic Zone Act 2005 was passed in the same year as the NREGA. But its relationship to transparency is far more problematic than in the case of the NREGA.

The SEZ Act was passed by parliament in order to allow the creation of Chinese-style Special Economic Zones (SEZs), enclaves whose tax breaks and relaxed regulatory requirements are intended to attract foreign investment, spur the creation of world-class infrastructure, and create jobs. Since February 2006, when the SEZ Act came into force, India's usually slow-moving bureaucracy has acted with unprecedented vigor, clearing proposals for more than 400 SEZs.

India's adoption of the SEZ concept was, according to a former commerce minister, 'inspired' by the success of China's SEZs, which turned sleepy provincial backwaters like Shenzhen into global manufacturing hubs in less than two decades. Even so, India's SEZ policy is strikingly different from the Chinese one. In China, the emphasis was on large sites – industrial cities, really – whereas Indian SEZs can be as small as 10 hectares (about 25 acres, or 1.07 mn square feet). The theory behind SEZs favors larger sites. In the absence of scale, it is difficult to recoup the costs of building world-class infrastructure. Additionally, without a critical mass of firms in a given sector, the synergies arising from 'clustering' are lost. Moreover, China's SEZs were established on land belonging to the state, and developed by Chinese government agencies in anticipation of leasing space and facilities to private firms. In India, the policy framework relies largely on private developers to own, develop, and operate the SEZs.

Tailoring foreign ideas to fit domestic circumstances is not necessarily a bad impulse. But the design of India's SEZ policy, and the manner in which it has been implemented, raises suspicion that the Chinese model was indigenized

not so much to suit India's national interest as to benefit elite interest *groups*. These include prominent industrial houses, real estate developers, and last, but by no means least, the politicians and bureaucrats who stand to gain (politically and personally) by acting as midwives at the birth of SEZs. By approving hundreds of small SEZs throughout India, the government has adapted the policy concept to India's democratic context, where placating powerful interests across the country helps to cultivate broad-based support among the political elite.

The very existence of this 'spatial' form of development policy – where liberalization is confined to defined jurisdictions – is a reflection of the fact that India, as a whole, is considered not ready (politically speaking) for radical economic change. That being the case, liberalizers maintain, why not simply confine reforms to those parts of the country that are prepared to embrace liberalization? Through the expedient of SEZs, the cutting edge of reform can be applied selectively, creating a patchwork of tiny hyper-liberalized jurisdictions dotting the country. Political resistance to reform could thereby be fragmented. Unfortunately, confining the vanguard of the reform agenda to just a small fraction of India's landmass has not quelled political resistance in quite the fashion that the SEZ policy's architects in Delhi had hoped.

To implement the policy, the central government must rely on India's state governments to assist SEZ developers to acquire land, to obtain the necessary clearances from state-level agencies, and to shepherd SEZ applications through the approval process in New Delhi. States are pleased with the investment-promotion opportunities the new policy makes possible, and have acted with remarkable alacrity to facilitate the process. State governments have thus demonstrated a high level of 'buy in' to the SEZ policy. And because state governments are ruled by a wide array of political parties, many of whom sit in opposition in the national parliament, their participation as enthusiastic implementers of the SEZ policy should, in theory, weaken the association of the policy with solely the parties that make up the United Progressive Alliance coalition government in Delhi. This should make the SEZ policy a much less partisan issue.

However, none of the state or non-state actors involved in the SEZ policy have operated with anything like a sufficient degree of transparency. Where the NREGS made ATI a central pillar of its design, building transparency provisions and procedures for collective citizen-auditing into the legislation itself, the SEZ Act 2005 appears to prize opacity.

This is true at almost every point of the SEZ cycle. There is a great deal of ambiguity surrounding the minimum requirements for the establishment of a privately operated SEZ, for instance – and these rules have been subjected to almost constant revision.

While India's Right to Information legislation makes it possible for citizens and their associations to obtain (if persistent) copies of SEZ applications submitted to the Commerce Ministry-run Board of Approvals, which (as the name implies) approves the creation of SEZs, the application documents received are not always full. And even where it is possible to obtain the complete documentation submitted, the untransparent nature of the BoA deliberative process means that little or no information is provided on the basis upon which decisions were taken. This has a close bearing on the nature of the information provided by private-sector applicants seeking approval for their SEZs, because the applications often make dubious and seemingly inflated claims about the benefits likely to result from the establishment of the SEZ in question. The lack of a clear rationale justifying extreme claims in SEZ applications – and the failure of the BoA to subsequently explain, through a process of public reason-giving, why the application was approved anyway – was the subject of a close analysis of SEZ applications conducted by the Delhi-based Centre for Policy Research.^{iv}

There are even greater transparency considerations involved in the process by which approved projects go about establishing themselves on the ground. The acquisition of land for SEZs – which up until April 2007, when abuses became too obvious to ignore, was conducted in many cases by state governments on behalf of the private promoters – was a very untransparent process as well, so much so that it led to suspicions of underhanded tactics even in those few cases where transactions appear to have been handled in a relatively straightforward fashion. The lack of publicly available 'socioeconomic impact assessment' studies (because these are not mandated by the Act) is the kind of information deficit that makes accountability institutions – of the type designed to prevent abuses by the state in the process of industrialization – incapable for performing the functions assigned to them.

The applicability of national laws within SEZs, once up and running, is also a matter of concern. SEZs, where large numbers of people will live as well as work, are mandated to operate under a special set of governance institutions, in which a state-government-appointed Development Commissioner appears likely to wield an excessive amount of authority. Whether it will be possible to make use of ATI under the conditions that will prevail in future SEZs is open to question. There is certainly considerable worry among activist groups that, in the absence of dedicated ATI provisions within the SEZ Act, each request for access to information on the running of SEZs, their financial situation, and the operation of the special courts provided for in the SEZ Act, will prove another hurdle. Whether the rights of inhabitants of SEZs can effectively be protected in such a circumstance – especially where the line separating public authority and private business are blurred – remains to be seen.

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ⁱ Much of this section is adapted from, and is an elaboration of, Anne Marie Goetz and Rob Jenkins, *Reinventing Accountability: Making Democracy Work for Human Development* (New York: Macmillan/Palgrave, 2005)

ⁱⁱ See Anne Marie Goetz and Rob Jenkins, *Reinventing Accountability: Making Democracy Work for Human Development* (Palgrave/Macmillan 2005).

ⁱⁱⁱ Anne Marie Goetz and Rob Jenkins, 'Hybrid Forms of Accountability: Citizen Engagement in Institutions of Public-Sector Oversight in India', *Public Management Review*, vol. 3, no. 3 (2001), pp. 363-84.

^{iv} See Partha Mukhopadhyay, 'Ghosts in the Machine', *Hindustan Times*, 22 January 2008.